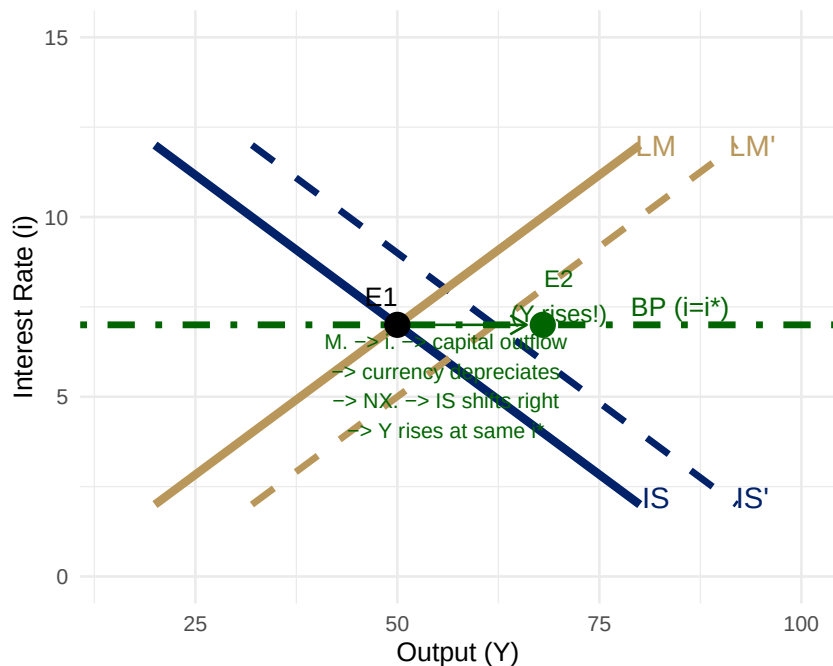


Mundell–Fleming: Flexible Exchange Rate Regime

Key result: Monetary policy effective (exchange rate channel); Fiscal policy crowded out via exchange rate appreciation

Monetary Expansion (M.): EFFECTIVE

Depreciation channel boosts NX and output



Fiscal Expansion (G.): CROWDED OUT

Appreciation destroys NX gain — Y returns to $E1$

